Project Phoenix: Improving Profitability at NexGen Digital Solutions

Company Background

NexGen Digital Solutions Pvt. Ltd. is a mid-sized IT and ITES company headquartered in Bengaluru, providing Application Development, Cloud Services, Cybersecurity, Data Analytics, and Digital Transformation consulting. Founded in 2008, the company has over **8,500 employees** and serves more than **190 enterprise clients** across Banking, Healthcare, Manufacturing, Retail, and Telecommunications.

Over the past three years, NexGen has successfully expanded its customer base and reported steady revenue growth. However, despite increasing revenues, the company's profitability has declined significantly. The leadership team is concerned that although demand for digital transformation services remains strong, the business is not generating expected financial returns.

To understand the reasons behind this trend, the CEO has engaged your consulting team to analyze the situation and recommend strategies to improve profitability while maintaining future growth.

Current Business Situation

Although NexGen continues to acquire new clients, senior management has observed several operational challenges over the past two years.

Customers have reported delays in project delivery and inconsistent post-implementation support. At the same time, the Human Resources team has noticed increasing employee attrition, particularly among experienced engineers. The sales department has also indicated that while more leads are being generated, fewer are being converted into successful business opportunities.

The CEO believes these issues may be connected but is unsure which areas require immediate attention.

Business Performance

Financial Performance

Financial Metric	FY2023	FY2024	FY2025
Revenue	₹1,980 Cr	₹2,230 Cr	₹2,480 Cr
EBITDA Margin	16%	13%	11%

Customer Satisfaction

Metric	FY2023	FY2025
Client Retention	91%	83%
Customer Satisfaction (CSAT)	4.6 / 5	4.0 / 5

Human Resources

Metric	FY2023	FY2025
Employee Attrition	18%	27%
Employee Utilization	82%	69%

Sales Performance

Metric	FY2023	FY2025
Qualified Leads	3,100	4,200
Lead Conversion Rate	18%	11%

Industry Context

The Indian IT services industry continues to grow due to increasing demand for Cloud Computing, Artificial Intelligence, Cybersecurity, and Digital Transformation services. However, competition has intensified as several established players are offering faster implementation, AI-enabled solutions, and outcome-based pricing models.

To remain competitive, NexGen must improve operational efficiency while maintaining high customer satisfaction and sustainable profitability.

Questions

As a consulting team, you have been asked to answer the following questions:

1. Why is the company's profitability declining despite increasing revenues?
2. Which business functions should management prioritize for improvement?
3. What are the possible reasons for declining customer satisfaction and increasing employee attrition?
4. What recommendations would you provide to improve operational efficiency and profitability?
5. Prepare a strategic roadmap that helps NexGen improve its EBITDA margin over the next three years.

Candidate Instructions

You have **25–30 minutes** to analyze the case and present your recommendations.

While solving the case:

- Clearly define the problem statement.
- State any assumptions made.
- Choose an appropriate consulting framework.
- Analyze the available information logically.
- Prioritize recommendations based on business impact.
- Summarize your final recommendations to the CEO.

Q1. Why is the company's profitability declining despite increasing revenues?

Although NexGen's revenue has increased consistently, its EBITDA margin has declined from **16% to 11%**. This indicates that operating costs are growing faster than revenue.

Key Reasons

Issue	Business Impact
High employee attrition	Increased hiring and training costs
Low employee utilization	Higher operational costs
Declining customer satisfaction	Lower client retention and repeat business
Low lead conversion	Reduced sales efficiency
Project delays	Increased delivery costs and customer dissatisfaction

Conclusion: Profitability is declining mainly due to **operational inefficiencies rather than lack of revenue growth.**

Q2. Which business functions should management prioritize for improvement?

Business Function	Priority
Human Resources	Reduce attrition and improve retention
Project Delivery	Improve execution and resource utilization
Sales & Business Development	Increase lead conversion
Customer Success	Improve customer satisfaction and retention

Q3. What are the possible reasons for declining customer satisfaction and increasing employee attrition?

Customer Satisfaction

- Delayed project delivery
- Inconsistent customer support
- Frequent project team changes
- Slow issue resolution

Employee Attrition

- High workload
- Better opportunities in competing firms
- Limited career growth
- Lack of employee engagement

Observation: High attrition affects project continuity, which further reduces customer satisfaction.

Q4. What recommendations would you provide to improve operational efficiency and profitability?

Focus Area	Recommendation
Human Resources	Improve retention through career development and employee engagement
Operations	Increase resource utilization and strengthen project governance
Sales	Improve lead qualification and reduce sales cycle
Customer Success	Enhance post-project support and collect regular feedback

Expected Outcome: Lower operating costs, improved customer satisfaction, and higher profitability.

Q5. Prepare a strategic roadmap to improve EBITDA over the next three years.

Timeline	Key Actions	Expected Outcome
0–6 Months	Improve employee retention, strengthen project monitoring, enhance customer support	Reduce attrition and delivery delays
6–18 Months	Optimize resource utilization, improve sales conversion, standardize project delivery	Increase operational efficiency and customer retention
18–36 Months	Expand high-margin consulting services, invest in AI and automation, strengthen strategic client relationships	Improve EBITDA margin from **11% to 18%**

Final Recommendation

NexGen should focus on improving **people, processes, and customer experience** rather than only increasing revenue. Reducing employee attrition, improving project delivery, increasing sales effectiveness, and enhancing customer satisfaction will help the company achieve sustainable profitability and reach its target EBITDA margin over the next three years.